Principles of Accounting

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Chapter 1

INTRODUCTION TO ACCOUNTING

OVERVIEW

- This course is an introduction to accounting concepts and the operating characteristics of accounting systems.
- It focuses on the definition and concepts of accounting.
- The course teaches student the proper and correct way of journalizing and posting of transactions in the books of accounts, the preparation of financial statements, how to interpret these financial reports or statements.

LEARNING OBJECTIVES:

After studying Lesson 1, the students should be able to:

1. **Know what a business is.**
2. **Know the role of accounting in relation to a business.**
3. **Distinguish the different types and forms of business organization.**
4. **Know the characteristics of the different forms of business organization.**
5. **Learn the nature, definition, and functions of accounting.**
6. **Know how to journalize transaction, post it in the general ledger**
7. **Know how to prepare the Trial Balance**
8. **Know what are the Financial Reports and how to prepare it.**

INTRODUCTION TO BUSINESS: Accounting and the Business

- A *business* is an organization or economic system where goods and services are exchanged for one another or for money.
- People involved in business:

1. Buyer- the person who buys or purchase products/commodities and services to the seller.

2. Seller- the person who sells or offers products/commodities or services to buyers.

- Every business requires some form of investment and enough customers to whom its output can be sold on a consistent basis in order to make a profit.

Types of Business



LEGAL FORMS OF BUSINESS ORGANIZATION

LEGAL FORMS OF BUSINESS ORGANIZATION

1. Sole Proprietorship

- This business is owned and run by only one (1) person. It is the most common form of business organization since there are so little legal requirements to set up.
- The owner of the business is called Sole Proprietor.

2. Partnership

- This form of business is a group consisting of two or more people who run and own a business together.
- The owners are called partners.

LEGAL FORMS OF BUSINESS ORGANIZATION

3. Corporation

- This form of business has separate legal identities to their owners, and thus their owners have limited liability.
- There is no limit on the number of owners.
- The owners' proof of ownership in one corporation is the stock.
- The owners are called Stockholders or Shareholders.

Exercise 1

Presented below are the basic three forms of business organizations, followed by some of the advantages or disadvantages relating to those forms of business,

a. Sole Proprietorship b. Partnership c. Corporation

1. ___ easy to dissolve
2. ___ few government regulations
3. ___ greater government regulations
4. ___ easy and inexpensive to establish
5. ___ greater access to capital
6. ___ easy transfer of ownership
7. ___ greater business continuity often difficult to dissolve
8. ___ must share profits
9. ___ greater tax burden
10. ___ easy to organize

Exercise 2

- Awab owns and operates a jewelry store.
- During the past month, she sold a necklace to a customer worth 135,000 pounds.
- Awab paid 85,000 pounds for the necklace.

Requirement:

1. What type of business does Awab owns? (Manufacturing, Merchandising or Service Business). **Explain**

Exercise 3

Essay:

- What is the relationship of business to accounting?
- List down the 3 kinds of business and give examples of each.
- Which of the kinds of business organization has the most capital needed?

Chapter 2

Nature Of ACCOUNTING

Nature Of ACCOUNTING

- Accounting is a service activity whose function is to provide quantitative information, primarily financial in nature, about economic entities that is intended to be useful in making economic decision.
- The term “financial in nature” means that the necessary financial information provided is expressed in monetary terms.

DEFINITIONs OF ACCOUNTING

- Accounting is the process of recording financial transactions pertaining to a business.
- The accounting process includes summarizing, analyzing, and reporting these transactions to oversight agencies, regulators, and tax collection entities.
- The financial statements used in accounting are a concise summary of financial transactions over an accounting period, summarizing a company's operations, financial position, and cash flows.

DEFINITIONs OF ACCOUNTING

- Accounting is the process of systematically recording, measuring, and communicating information about financial transactions.
- Accounting is a practice and body of knowledge concerned primarily with methods for recording transactions, keeping financial records, performing internal audits, reporting and analyzing financial information to the management, and advising on taxation matters.

DEFINITIONs OF ACCOUNTING

- **Accounting** has been defined in several ways, but the most complete is the definition pronounced by the Committee on Terminology of the American Institute of Certified Public Accounts.
- **Accounting is the art of recording, classifying, summarizing, in a significant manner and in terms of money transactions and events, which are in part at least of a financial character, and interpreting the results thereof.**

Luca Pacioli

- In 1494, the first book on double-entry accounting was published by **Luca Pacioli**.
- Since **Pacioli** was a Franciscan friar, he might be referred to simply as Friar **Luca**.
- While Friar **Luca** is regarded as the "Father of Accounting," he did not invent the system.

FUNCTIONS OF ACCOUNTING

1. Analyzing
2. Recording

Bookkeeping - the activity or occupation of keeping records of the financial

affairs of a business.

3. Classifying
4. Summarizing
5. Interpreting

ROLE OF ACCOUNTING IN BUSINESS

1. It helps the owner/s or managers make plans and decisions.

2. It reports and analyzes business transactions thru the financial statements

3. It communicates financial information to all interested parties.

IMPORTANCE OF ACCOUNTING

- The *primary purpose* of accounting is to provide the financial information needed for the efficient operation of an economic unit.

USERS OF ACCOUNTING INFORMATION

1. **Owners** have invested their money or goods in a business organization.

- They want information regarding the company's earnings, its prospects for future earnings, and its ability to pay its debts.

2. **Managers and supervisors** have to prepare financial reports, understand accounting data contained in reports and budgets, and express future plans in financial terms.

- People who have management jobs must know how accounting information is developed in order to evaluate performance in meeting goals.

USERS OF ACCOUNTING INFORMATION

3. **Creditors** lend money or extend credit to the company for the purchase of goods and services.

- The company's creditors include suppliers, banks, and other lending institutions, such as loan companies. Creditors are interested in the firm's ability to pay its debts.

4. Government Agencies - Taxing authorities verify information submitted by companies concerning a variety of taxes, such as income taxes, sales taxes, and employment taxes.

USERS OF ACCOUNTING INFORMATION

5. Financial Analyst - use accounting data to form opinions on which they base investment recommendations.

6. Employees - Want to work for successful companies to further their individual careers, and they often have bonuses or options tied to enterprise performance**.**

Generally Accepted accounting principles (GAAP)

- Rules or guidelines in accounting process developed by the Financial Accounting Standards Board (FASB).
- Professional accountants follow a set of standards known as the Generally Accepted Accounting Principles (GAAP) when preparing financial statements.

Financial Accounting Standards Board (FASB)

- Developed the rules or guidelines in accounting process.

EXERCISE

Q1. List down the different functions of Accounting. Explain each.

Q2. What is meant by systematic recording of business transactions?

Q3. What is the primary purpose of accounting?

Q4. Who developed the rules or guidelines in accounting process.?

Chapter 3

A. BASIC ACCOUNTING ELEMENTS OR VALUES

1. Assets

- **These are the properties or the economic resources of the entity or business enterprise.**
- **It may also refer to all properties, belongings or ownership which have VALUE.**
- **Assets entail probable future economic benefits to the owner.**
- **Assets may be tangible and intangible.**
- **Assets are always affected by the transactions of the business.**
- **Assets may be increased or decreased depending on what kind of transaction the business incurred.**
- **Examples are: *Cash, Accounts Receivables, Inventories, Office Supplies, Equipment, Land and Buildings.***

A. BASIC ACCOUNTING ELEMENTS OR VALUES

2. Liability

This refers to the amount of money owed or borrowed to or from others (people or business enterprise) relating to loans, extension of credit and other obligations arising in the course of business.

It may also called Borrowings, Loans, or Debt.

In a transaction involving borrowings or loans, there will always be two (2) parties involved.

- **They are the creditor and the debtor.**

***Creditor*- is the one who gives or extends money or other things to the borrower.**

***Debtor*- is the one who borrows money or other things to the creditor. He/she is the borrower**

Example is: *Accounts Payable*

A. BASIC ACCOUNTING ELEMENTS OR VALUES

3. Capital (also called Owner's Equity)

- This is the owner's interest in the business, and it is sometimes called net assets because it is equivalent to assets minus liabilities for a particular business.

THE ACCOUNTING EQUATION

The fundamental accounting equation is shown below:

Assets	=	Owner's Equity
Properties or things of value owned by the business		Owner's *right* to or investment in the business

- ***Suppose the total value of the assets is SDG80,000, and the business entity does not owe any amount against the assets. Then,***

Assets	=	***Owner's Equity***
80,000	=	***80,000***

Assets =Liabilities + Owner's Equity

. Or suppose the assets consist of a truck that

any amount against the assets. Then,

Assets	=	*Owner's Equity*
80,000	=	*80,000*

Assets =Liabilities + Owner's Equity

- Or suppose the assets consist of a truck that costs SDG35,000. The owner has invested SDG12,000 for the truck, and the business entity has borrowed the remainder from the bank, which is a creditor (one to whom money is owed or borrowed). This business transaction or event can be shown as follows:

Assets	= Liabilities	+ Owner's Equity
Items Owned	Amounts owed to creditor	Owner's investment
35,000	= 23,000	+ 12,000

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ADDITIONAL ACCOUNTING ELEMENTS OR ACCOUNTING VALUES

4. Revenue -- This refers to all sales or income coming in to the company from clients or customers as a result of business transactions.

- This increases assets of the company.

5. Expense - This refers to the cost of doing the business.

- ? Also refers to all payments made by the business.
- ? Refers to transactions that decrease assets of the company.

ADDITIONAL ACCOUNTING ELEMENTS OR ACCOUNTING VALUES

6. Drawing, sometimes called Personal – is the withdrawal made by the owner from the business.

Exercises:

1. Differentiate :

a. Tangible Asset

b. Intangible Assets

2. What is a long-term liability? Give 5 examples

4.Calculate for the missing amounts.

Accounts	Case 1	Case 2	Case 3
Assets	10,000	31,000	?
Liabilities	2,000	?	20,000
Owner's Equity	?	20,000	80,000

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Chapter 4

Chart of Accounts (COA)

- - **Is a created list of the** accounts used by a business entity to define each class of items for which money or the equivalent is spent or received.
- **It is used to organize the finances of the entity and to segregate expenditures, revenue, assets and liabilities in order to give interested parties a better understanding of the financial health of the entity.**

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understanding of the financial health of the entity.

Chart of Accounts

Number	Account Name	Account Type
1000	Cash	Assets
1010	Accounts Receivable	Assets
1020	Inventory	Assets
1030	Vehicles & Equipment	Assets
2000	Accounts Payable	Liability
2010	Payroll Tax Liability	Liability
2020	Sales Tax Liability	Liability
3000	Owner's Capital	Owner's Equity
3010	Owner's Withdrawals	Owner's Equity
3020	Retained Earnings	Owner's Equity
4000	Sales	Revenue
4010	Returns and Allowances	Revenue
4020	Cost of Goods Sold	Revenue
5000	Marketing and Advertising	Expenses
5010	Office Supplies	Expenses
5020	Salaries and Wages	Expenses
5030	Payroll Taxes	Expenses

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YPES OF ACCOUNTS

TYPES OF ACCOUNTS

- **Asset accounts:** represent the different types of economic resources owned or controlled by business, common examples of Asset accounts are cash, accounts receivables, inventory, machinery, equipment, land, building, prepaid rent, and goodwill.
- **Categories:**

o **Current Assets**

o **Fixed Assets**

TYPES OF ACCOUNTS

- **Liability accounts:** represent the different types of economic obligations by a business, such as accounts payable, bank loan, bonds payable, accrued interest.

Categories:

o Short-tern Liabilities

o Long-term Liabilities

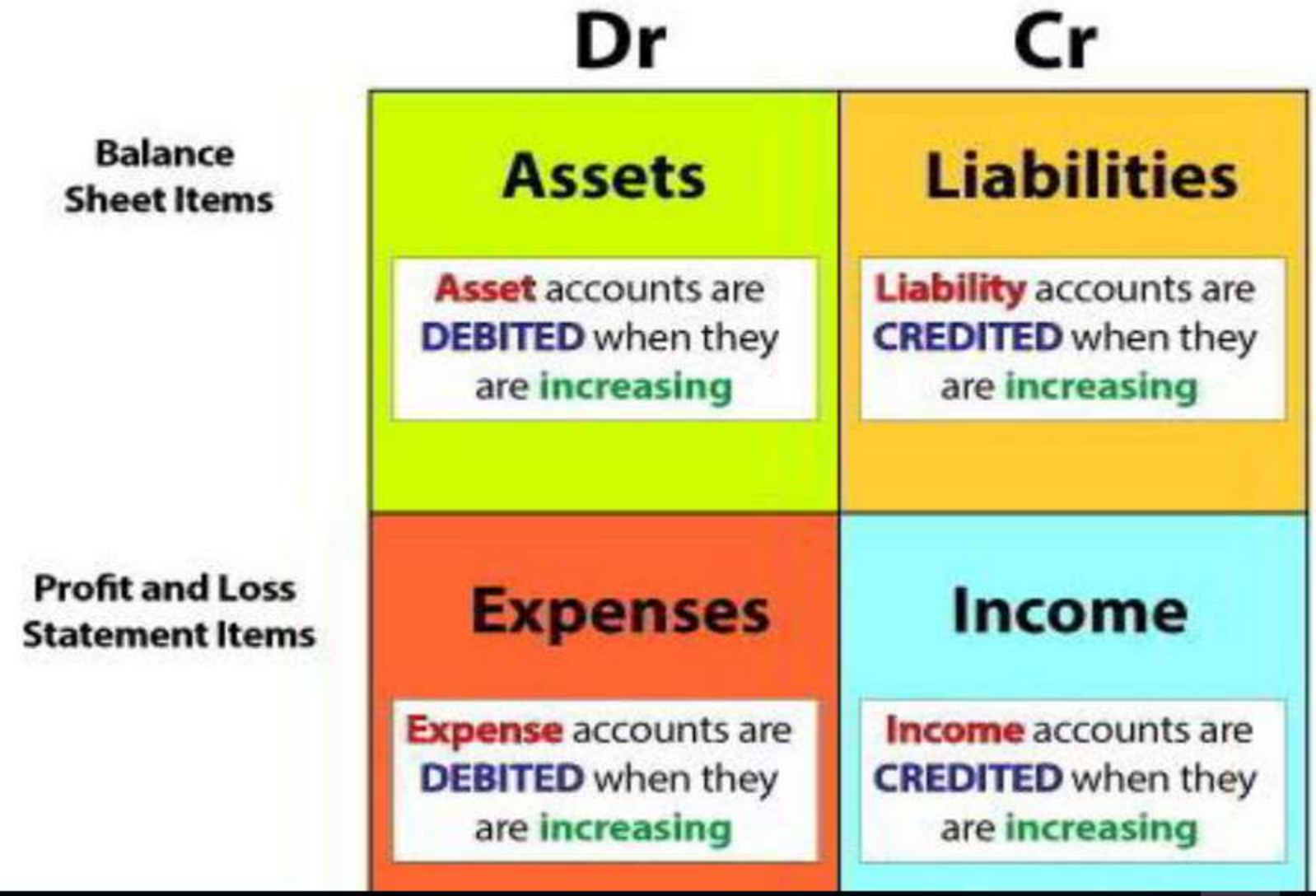
TYPES OF ACCOUNTS

- **Equity accounts:** represent the residual equity of a business (after deducting from Assets all the liabilities) including Retained Earnings and Appropriations.
- **Personal Drawings –** loan by the owner to the business
- **Revenue accounts or income:** represent the company's gross earnings and common examples include Sales, Service revenue and Interest Income.

TYPES OF ACCOUNTS

- **Expense accounts:** represent the company's expenditures to enable itself to operate. Common examples are electricity and water, rentals, depreciation, doubtful accounts, interest, insurance.

Rule of Debit & Credit



EXERCISE

1. What is an Asset?

2. Give 5 examples of the following:

a. Current Asset

b. Revenue

c. Expenses

Chapter 5

RECORDING BUSINESS TRANSACITON (BOOKKEEPING)

Explanation

- **Only the *business transactions and events* affecting the business will be recorded in the two (2) Books of Accounts,**
- **(1) the General Journal**
- **and (2) General Ledger.**
- **Single-entry Accounting –** it is a journal entry wherein there is only one debit entry and one credit entry
- **Compound entry –** a journal entry wherein there are more than 1 debit or credit entries.

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Double-Entry Accounting

Assets = **Liabilities** + **Equity**



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INSTRUCTIONS ON HOW TO RECORD IN THE GENERAL JOURNAL

Journalizing & Posting Transactions



Step 1: Analyze transactions and source documents.



Step 2: Apply double-entry accounting



Step 3: Record journal entry



Step 4: Post entry to ledger

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Analyzing Transactions

Transaction:	Owner invested $30,000 in FastForward on Dec. 1.

Analysis:

Assets	=	Liabilities	+	Equity
Cash				Capital
30,000				30,000

Double entry:

(1)	Cash	101	30,000	
	C. Taylor, Capital	301		30,000

Posting:

Cash 101		C. Taylor, Capital 301	
(1)	30,000		(1) 30,000

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Analyzing Transactions

Transaction:	FastForward purchases supplies by paying $2,500 cash.

Analysis:

Assets		= Liabilities	+ Equity
Cash	Supplies		Capital
(2,500)	2,500		

Double entry:

(2)	Supplies	126	2,500	
	Cash	101		2,500

Posting:

Supplies 126		Cash 101	
(2) 2,500		(1) 30,000	(2) 2,500

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Analyzing Transactions

Transaction:	FastForward purchases equipment by paying $26,000 cash.

Analysis:

Assets		=	Liabilities	+	Equity
Cash	Equipment				Capital
(26,000)	26,000				

Double entry:

(3)	Equipment	167	26,000	
	Cash	101		26,000

Posting:

Equipment		167
(3)	26,000	

Cash		101	
(1)	30,000	(2)	2,500
		(3)	26,000

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Analyzing Transactions

Transaction:	FastForward purchases $7,100 of supplies on credit.

Analysis:

Assets	=	Liabilities	+	Equity
Supplies		Accounts Payable		Capital
7,100		7,100		

Double entry:

(4)	Supplies	126	7,100	
	Accounts payable	201		7,100

Posting:

Supplies 126		Accounts Payable 201	
(2)	2,500		(4) 7,100
(4)	7,100		

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Analyzing Transactions

Transaction:	FastForward provides consulting services and immediately collects $4,200 cash.

Analysis:

Assets	=	Liabilities	+	Equity
Cash				Revenue
4,200				4,200

Double entry:

(5)	Cash	101	4,200	
	Consulting Revenue	403		4,200

Posting:

Cash			101
(1)	30,000	(2)	2,500
(5)	4,200	(3)	26,000

Consulting Revenue			403
		(5)	4,200

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INSTRUCTIONS ON HOW TO POST DATA IN THE GENERAL LEDGER

Posting Journal Entries

2011					
Dec.	1	Cash		30,000	
		C. Taylor, Capital			30,000
		Investment by owner			

Identify the debit account in ledger.

1 ASH ACCOUNT No. 101

Date	Description	PR	Debit	Credit	Balance
2011					

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Posting Journal Entries

2011					
Dec.	1	Cash		30,000	
		C. Taylor, Capital			30,000
		Investment by owner			

2 Enter the date.

CASH **ACCOUNT No. 101**

Date	Description	PR	Debit	Credit	Balance
2011					
Dec. 1					

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Posting Journal Entries

2011					
Dec.	1	Cash		30,000	
		C. Taylor, Capital			30,000
		Investment by owner			

3 Enter the amount and description.

CASH **ACCOUNT No. 101**

Date	Description	PR	Debit	Credit	Balance
2011					
Dec. 1	Investment by owner		30,000		

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Posting Journal Entries

2011					
Dec.	1	Cash		30,000	
		C. Taylor, Capital			30,000
		Investment by owner			

Compute the balance.

5

CASH **ACCOUNT No. 101**

Date	Description	PR	Debit	Credit	Balance
2011					
Dec. 1	Investment by owner	G1	30,000		30,000

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Posting Journal Entries

2011					
Dec.	1	Cash	101	30,000	
		C. Taylor, Capital			30,000
		Investment by owner			

6 Enter the ledger reference.

CASH **ACCOUNT No. 101**

Date	Description	PR	Debit	Credit	Balance
2011					
Dec. 1	Investment by owner	G1	30,000		30,000

EXERCISES

Answer the following:

1. How do you post in the General Ledger?

2. What is the difference between General Journal and General Ledger?

3. State the Rules of Debit and Credit.

Record the transactions below in an accounting equation

Mohit has the following transactions, prepare the accounting eq

a. Business started with cash ₹ 1,75,000
b. Purchased goods from Rohit ₹ 50,000
c. Sold goods on credit to Manish (Costing ₹ 17,500) ₹ 20,000
d. Purchased furniture for office use ₹ 10,000
e. Cash paid to Rohit in full settlement ₹ 48,500
f. Cash received from Manish ₹ 20,000
g. Rent Paid ₹ 1,000
h. Cash withdrew for personal use ₹ 3,000

Transaction No.	Ass			
	Cash	Stock Of Goods	Deb	To
				Eq



Chapter 6

A TRIAL BALANCE

A trial balance sheet

- A trial balance sheet is a report that lists the ending balances of each account in the chart of
- accounts in balance sheet order. Bookkeepers and accountants use this report to
- consolidate all of the T-accounts into one document and double check that
- all transactions were recorded in proper journal entry format.

A trial balance sheet

- Since the debit and credit columns equal each other totaling a zero balance, we can move in the year-end financial statement preparation process and finish the accounting cycle for the period.

A trial balance sheet

The four basic steps to developing a trial balance are:

1. Prepare a worksheet with three columns.

- One column is for account titles, another is for debits, and the other is for credits.

2. Fill in all the account titles and record their balances in the appropriate debit or credit columns.

3. Total the debit and credit columns.

4. Compare the column totals.

4. Compare the column totals.

After processing its remaining transactions for December, FastForward's Trial Balance is prepared.

FastForward
Trial Balance
December 31, 2011

	Debits	Credits
Cash	$ 4,350	
Accounts receivable	-	
Supplies	9,720	
Prepaid Insurance	2,400	
Equipment	26,000	
Accounts payable		$ 6,200
Unearned consulting revenue		3,000
C. Taylor, Capital		30,000
Owner's Withdrawals	200	
Consulting revenue		5,800
Rental revenue		300
Salaries expense	1,400	
Rent expense	1,000	
Utilities expense	230	
Total	$ 45,300	$ 45,300

The trial balance lists all account balances in the general ledger. If the books are in balance, the total debits will equal the total credits.

Meaning of Financial Statements:

- A financial statement is a collection of data organized according to logical and consistent accounting procedures.
- Its purpose is to convey an understanding of some financial aspects of a business firm.
- It may show a position at a moment in time, as in the case of a balance sheet, or may reveal a series of activities over a given period of time, as in the case of an income statement.

Thus, the term ‘financial statements’ generally refer to the two statements:

(i) The position statement or the balance sheet; and

(ii) The income statement or the profit and loss account.

- These statements are used to convey to management and other interested outsider the profitability and financial position of a firm.
- Financial statements are the outcome of summarizing process of accounting.
- In the words of John N. Myer, “The financial statements provide a summary of the accounts of a business enterprise, the balance sheet reflecting the assets, liabilities and capital as on a certain date and the income statement showing the results of operations during a certain period.”
- Financial statements are prepared as an end result of financial accounting and are the major sources of financial information of an enterprise.

INCOME STATEMENT

The **income statement** calculates the net **income** of a company by subtracting total expenses from total **income**.

For **example** annual **statements** use revenues and expenses over a 12-month period, while quarterly **statements** focus on revenues and expenses incurred during a 3-month period.

Paul's Guitar Shop, Inc.
Income Statement
For the Year Ended December 31, 2015

Revenues		
Merchandise Sales	$ 24,800	
Music Lesson Income	3,000	
Total Revenues:		$ 27,800
Expenses		
Cost of Goods Sold	10,200	
Depreciation expense	2,000	
Wage expense	750	
Rent expense	500	
Interest expense	500	
Supplies expense	500	
Utilities expense	400	
Total Expenses:		14,850
Net Income		$ 12,950

BALANCE SHEET

A **balance sheet** is a statement of the financial position of a business that lists the assets, liabilities, and owner's equity at a particular point in time. In other words, the **balance sheet** illustrates your business's net worth.



Innovative Products, Inc. Balance Sheet As At December 31, 2012	
Assets	
Current Assets	
Cash	$7,22,500
Accounts Receivable	$9,00,000
Marketable Securities	$1,00,000
Inventory	$5,00,000
Prepaid Expenses	30,000
Total Current Assets	***$22,52,500***
Property, Plant, and Equipment	
Land	$9,00,000
Buildings	$15,00,000
Machinery	$11,00,000
Furniture and Fixtures	$4,00,000
Vehicles	$5,00,000
Accumulated depreciation	$1,00,000
Net Property Plant and Equipment	***$43,00,000***
Total Assets	**$65,52,500**
Liabilities	
Current Liabilities	
Accounts Payable	$7,00,000
Notes Payable	$2,00,000
Accrued Expense	$1,50,000
Income Taxes Payable	$1,00,000
Total Current Liabilities	***$11,50,000***

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sheet illustrates your business's net worth.

Innovative Products, Inc. Balance Sheet As At December 31, 2012	
Assets	
Current Assets	
Cash	$7,22,500
Accounts Receivable	$8,00,000
Marketable Securities	$1,00,000
Inventory	$5,00,000
Prepaid Expenses	30,000
Total Current Assets	***$22,52,500***
Property, Plant, and Equipment	
Land	$4,00,000
Buildings	$15,00,000
Machinery	$11,00,000
Furniture and Fixtures	$4,00,000
Vehicles	$5,00,000
Accumulated depreciation	$1,00,000
Net Property Plant and Equipment	***$43,00,000***
Total Assets	**$65,52,500**
Liabilities	
Current Liabilities	
Accounts Payable	$7,00,000
Notes Payable	$2,00,000
Accrued Expense	$1,50,000
Income Taxes Payable	$1,00,000
Total Current Liabilities	***$21,50,000***
Long-term Liabilities	
Long-term Debt	$33,00,000
Total Liabilities	$44,50,000

CLOSING ENTRIES

Closing entries take place at the end of an accounting cycle as a set of journal **entries**. The **closin entries** serve to transfer the balances out of certain temporary accounts and into permanent ones. Thi resets the balance of the temporary accounts to zero, ready to begin the next accounting period.

Closing journal entries are made at the end of an accounting period to prepare *temporary accounts* for the next period.

This is because temporary or nominal accounts, (also called income statement accounts), are measured *periodically*; and so, the amounts in one accounting period should be closed or brought to zero so that they won't get mixed with those of the next period.

Temporary accounts consist of all *revenue* and *expense* accounts, and also withdrawal accounts of owner/s in the case of sole proprietorships and partnerships. Take note that closing entries are prepared only for temporary accounts. Permanent accounts are *never* closed.

EXERCISES

1. What is the main purpose of closing entry?
2. What happens if closing entries are not made?

“Life is like **accounting** everything must be balance.”

—Unknown